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8. From the following particulars, give journal entries for 2 years and prepare machinery account under straight line method of providing depreciation:

   Machinery was purchased on 1.1.2016

   Price of the machine ` 36,000

   Freight charges ` 2,500

   Installation charges ` 1,500

   Life of the machine 5 years

   (**Answer**: Amount of depreciation: ` 8,000; Balance in machinery A/c: ` 24,000)

9. A manufacturing company purchased on 1 April, 2010, a plant and machinery for `4,50,000 and spent ` 50,000 on its installation. After having used it for three years, it was sold for ` 3,85,000. Depreciation is to be provided every year at the rate of 15% per annum on the fixed instalment method. Accounts are closed on 31st March every year. Calculate profit or loss on sale of machinery.

   (**Answer**: Profit on sale ` 1,10,000)

10. On 1st April 2008, Sudha and Company purchased machinery for ` 64,000. To instal the machinery expenses incurred was ` 28,000. Depreciate machinery 10% p.a. under straight line method. On 30th June, 2010 the worn out machinery was sold for ` 52,000. The books are closed on 31st December every year. Show machinery account.

    (**Answer**: Loss on sale ` 19,300)

11. Ragul purchased machinery on April 1, 2014 for ` 2,00,000. On 1st October 2015, a new machine costing ` 1,20,000 was purchased. On 30th September 2016, the machinery purchased on April 1, 2014 was sold for ` 1,20,000. Books of accounts are closed on 31st March and depreciation is to be provided at 10% p.a. on straight line method. Prepare machinery account and depreciation account for the years 2014-15 to 2016-17.

    (**Answer**: Amount of depreciation: 2014-15: ` 20,000; 2015-16: ` 26,000; 2016-17: ` 22,000; Loss on sale of 1st machine: ` 30,000; Balance in machinery a/c: ` 1,02,000).

Written down value method

12. An asset is purchased for ` 50,000. The rate of depreciation is 15% p.a. Calculate the annual depreciation for the first two years under diminishing balance method.

    (**Answer**: Amount of depreciation I year ` 7,500; II year ` 6,375)

13. A boiler was purchased on 1st January 2015 from abroad for `10,000. Shipping and forwarding charges amounted to `2,000. Import duty ` 7,000 and expenses of installation amounted to ` 1,000. Calculate depreciation for the first 3 years @10% p.a. on diminishing balance method assuming that the accounts are closed 31st December each year.

    (**Answer**: Amount of depreciation: 2015: ` 2,000; 2016: ` 1,800; 2017: ` 1,620)